

Article | 15 July 2026

FX

FX Daily: Benign CPI takes sting out of dollar's upside

The DXY dollar index sold off 0.5% on yesterday's benign US CPI print and 10bp came out of the expected Fed tightening cycle. Fed officials look to be on the same page, requiring several soft inflation prints to avoid tightening, but the June data must be welcome. Today's focus will be PPI and further Fed testimony. High-yielding commodity FX should do well



US inflation came in lower than expected

➔ USD: Softer CPI keeps a Fed hold in play

Yesterday's release of softer-than-expected June CPI was welcomed by asset markets across the board. As [James Knightley writes](#), the softening in prices was broad-based and is a vote in the direction of ING's house call that the Fed will not be hiking this summer after all. Yet, as Chair Kevin Warsh and many Fed members will agree, one number does not a new trend make. And another good speech from [Chris Waller earlier this week](#) serves as a reminder that the Fed will need to see 'several' soft inflation releases to avoid tightening. That explains why, even though short-dated US rates fell 10bp yesterday, the market still prices 44bp of Fed tightening into next year.

Feeding into the above story today will be the June PPI release and more testimony from Warsh. Remember that components of PPI, such as portfolio management fees, airfares and healthcare, all feed into the Fed's preferred inflation gauge of the core PCE reading. The June reading of core PCE is released on 30 June. Thus, any unwelcome rise in any of those components today could reverse more of yesterday's move in the rates and FX markets.

Overnight also saw some [soft Chinese activity data](#) and further escalation in the Gulf. It looks like investors will struggle to price in a benign inflation environment given developments in the energy sector, where both oil and natural gas are on the rise again, while refined products like diesel are surging as Ukraine intensifies its attack on Russian refineries.

While soft US CPI data has taken the sting out of the dollar's upside, it is probably too early to look for a much lower dollar just yet. In this environment, we prefer energy-exporting, high-yield currencies, such as the Norwegian krone, where a 4%+ per annum one-week deposit rate provides reward if volatility drops again in summer markets.

DXY has support at 100.50. We can see that holding while energy prices stay bid.

Chris Turner

📉 EUR: Unwelcome developments in the energy sector

Along with most dollar pairs, EUR/USD very much enjoyed yesterday's soft US CPI release. Were it not for developments in the Gulf and in energy markets in general, we would be happy to call EUR/USD steadily higher from here. But European natural gas is now back to levels seen in mid-March and, as above, it is too early to trade an 'all-clear' US inflation story.

In the absence of a major improvement in energy markets, we suspect that EUR/USD will struggle to break above the 1.1460/70 area and again could move down to the 1.1360/80 area should oil prices deliver another leg higher.

We do note, however, that there seems to be strong demand for EUR/USD sub 1.14. One suggestion could be a rotation into European equities as analysts raise expectations for European earnings. That may be the case, but so far those flows have not shown up in US-listed eurozone equity ETFs, e.g., the iShares MSCI Eurozone ETF.

Elsewhere, a pro-risk environment given lower prospects of Fed tightening, higher energy prices and potentially lower volatility favouring the carry trade all point to the Norwegian krone recovering some of its losses since May. We have a [one-month target at 11.05](#) for EUR/NOK, but the move could easily extend to 10.95. We acknowledge that a soft Norwegian inflation figure this morning has lifted EUR/NOK in early Europe, but we expect good demand for the krone on dips.

Chris Turner

➔ CAD: BoC should show no rush to tightening

The Bank of Canada will likely keep rates unchanged at 2.25% today, in line with consensus and pricing. However, this meeting could be a litmus test for revamped hawkish bets. There is probably little incentive to openly push back against pricing for December (20bp of tightening), but the BoC has equally very few bases to argue for any earlier action. Canada's June CPI may follow the US measure lower on falling petrol prices, potentially falling back below 3.0%. Most importantly, core measures remain very close to 2.0%.

The 2Q BoC business outlook survey showed an increase in inflation expectations, but responses were collected in May, before the reopening of the Strait of Hormuz. The latest re-escalation and improved jobs market picture should keep the BoC open to interest rate hikes, but expect the usual mention of USMCA-related concerns to add a dovish ingredient to the overall message.

We expect few changes in the policy tone by the BoC at this meeting, leaving CAD front-end rates primarily driven by developments in the Gulf. CAD should enjoy more short-term momentum if oil prices stay supported and the BoC doesn't surprise on the dovish side. Still, a sustainable break below 1.40 in USD/CAD requires further dovish Fed inputs, while USMCA headlines may keep offering support to the pair.

Francesco Pesole

⬆ CEE: US inflation brings relief to region

Today's final Polish inflation figures for June should show the full details. Inflation surprised on the downside mainly due to food and fuel prices. Core, however, remained unchanged in our estimates at 3.1%. Official core inflation figures are due tomorrow.

Yesterday, CEE FX saw a clash between higher oil prices and risk-off sentiment due to the escalation of the US-Iran conflict on the one hand and relief coming from lower US inflation on the other hand. We could see new local lows across CEE currencies but also a strong rebound after the US inflation figures yesterday. The easing of Fed hike expectations, which may be just temporary, brings relief for CEE in our view for the coming days. We therefore maintain our bullish view of the koruna and forint and expect the next few days to bring more gains here.

EUR/CZK should also be pushed down due to the hawkish Czech National Bank story locally and we could see levels below 24.200 again soon. EUR/HUF is trickier here due to the very long positioning already, but we still see a case for going lower within the current 350-360 range in our mindset, as investors see cheap levels for forint longs. EUR/PLN, on the other hand, does not see much reason to move down from current levels and we see 4.330-340 as an anchor for now.

Frantisek Taborsky

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.